APTUS VALUE HOUSING FINANCE INDIA LTD

NSE: APTUS | Sector: Affordable Housing Finance | Analyst: T. Veda Vedhya | May 2025

CMP	Target	Rating	Upside
₹260	₹285	BUY	~10%

COMPANY SNAPSHOT

Aptus Value Housing Finance is a South India-focused retail HFC serving self-employed, informal-income borrowers in semi-urban and rural markets.

Average ticket size ₹10-15L. 100% retail book — **zero developer exposure**. Footprint: Tamil Nadu (~70%), Andhra Pradesh, Karnataka, Telangana.

Loan book **₹11,156 Cr (FY24)**; 5Y CAGR ~25%. Gross NPA **1.1%** | Net NPA **0.8%**. D/E 1.7x vs sector norm of 5-6x. Founder-led, conservative underwriting.

VALUATION SUMMARY

Method	Implied Price	vs CMP ₹260
DDM — Dividend Floor	**₹49**	**-81%**
Justified P/BV (ROE/Ke)	**₹129**	**-50%**
Peer Median P/BV (2.7x)	**₹237**	**-9%**
Peer Median P/E (17.8x)	**₹269**	**+3%**
*** Price Target — 3.1x FY25E P/BV**	**₹285**	**+10%**

KEY FINANCIAL METRICS

Metric	FY24A	FY25E
Loan Book (₹ Cr)	11,156	13,610
NII (₹ Cr)	1,209	1,565
PAT (₹ Cr)	751	952
ROE %	17.4%	18.9%
ROA %	6.1%	7.0%
EPS (₹)	7.5	9.5
P/E (x)	34.6x	27.3x
P/BV (x)	3.0x	5.2x

INVESTMENT THESIS

Structural growth runway: India housing deficit and PMAY tailwinds = decade-long demand. Loan book to compound 20-22% p.a. through FY29E; PAT ₹751 Cr (FY24) growing to ₹1,806 Cr (FY29E).

Best-in-class profitability: NIM 8.9% and ROA 6.1% lead the listed HFC peer group (peer avg ROA 4.6%). Informal-borrower pricing power protects spreads. Near-zero wholesale / LAP exposure.

Re-rating potential: Gross NPA 1.1% is lowest in class. D/E 1.7x leaves headroom for leveraged ROE expansion. At 3.0x book, current premium is justified; 3.1x target P/BV implies ₹285.

KEY RISKS

Geographic concentration: ~70% of book in Tamil Nadu. Regional shock or monsoon failure could disproportionately impact collections and NPA.

Rate sensitivity: ₹6,873 Cr floating-rate borrowings. A +50bps rise in cost of funds compresses NII by ~₹34 Cr (~5% PAT impact) in a rising rate cycle.

Latent NPA risk: Self-employed informal segment is procyclical. Rural stress could push Gross NPA toward 2-3%; 0.5% credit cost leaves a thin provisioning buffer.

BUY | Price Target ₹285 | Upside ~10% | 12-Month Horizon

Aptus is a high-quality compounder — 20%+ loan book growth, best-in-class ROA (6.1%) and pristine asset quality (Gross NPA 1.1%).

At 3.1x FY25E P/BV, ₹285 target implies a justified premium over peers given ROA leadership and conservative balance sheet (D/E 1.7x).